

CARBACID INVESTMENTS LIMITED

REPORT AND FINANCIAL STATEMENTS 2006



	PAGES
Corporate information	2
Board of directors	3
Notice of meeting	4
Chairman's statement	5 - 6
Taarifa ya mwenyekiti	7 - 8
Report of the directors	9
Statement on corporate governance	10 - 12
Statement of directors' responsibilities	13
Independent auditors' report	14
Consolidated income statement	15
Consolidated balance sheet	16
Company balance sheet	17
Consolidated statement of changes in equity	18
Company statement of changes in equity	19
Consolidated cash flow statement	20
Notes to the financial statements	21 - 33
Proxy form	

DIRECTORS

J M Wanjigi Chairman
M K R Shah*
R A Shepherd
P R Simpson Retired on 31 January 2006
B C Patel

*British

AUDIT COMMITTEE

R A Shepherd Chairman
J M Wanjigi
M K R Shah
B C Patel

SECRETARY

N P Kothari, FCPS (Kenya)
Certified Public Secretary
Haile Selassie Avenue
P O Box 30633
Nairobi, GPO, 00100

REGISTERED OFFICE

3rd Floor
Comcraft House
Haile Selassie Avenue
P O Box 30633
Nairobi, GPO, 00100

REGISTER OF MEMBERS AND TRANSFER OFFICE

Specialist Corporate Consultants
3rd Floor
Comcraft House
Haile Selassie Avenue
P O Box 30633
Nairobi, GPO, 00100

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
"Kirungii", Ring Road, Westlands
P O Box 40092
Nairobi, GPO, 00100

BANKERS

CFC Bank Limited
CFC Centre
Chiromo Road
P O Box 72833
City Square, 00200
Nairobi

ADVOCATES

Anjarwalla & Khanna Advocates
P O Box 200
00606, Sarit Centre
Nairobi

JAMES MAINA WANJIGI EGH, MSc, MA - CHAIRMAN

Aged 74, Mr Wanjigi who is a Fulbright Scholar, has been a Board member since July 1970. He has held very senior cabinet positions in Government and has been a member of International organizations. He is involved in overseeing his family's businesses as well as being involved in various other business and social welfare activities.

R A (TONY) SHEPHERD

Aged 74, Mr Shepherd joined the Group as Managing Director of Carbacid (CO₂) Limited in 1967. He retired as a Managing Director of Carbacid (CO₂) Limited in June 2001 and has continued as a non- executive Director. His vast knowledge and experience of the business gained over the years provides the Board with valuable technical guidance.

MUKESH K R SHAH FCCA, CPA (K), CPS (K)

Aged 52, Mr Shah joined the Board in May 2002. He is a member of the Institute of Certified Public Accountants of Kenya, the Institute of Certified Public Secretaries of Kenya and a Fellow of the Association of Chartered and Certified Accountants of the UK. He is a former partner of PriceWaterhouse and a director of a leading consultancy firm that specializes in providing strategic and business advisory services to Family Owned Businesses. Mr Shah is substantially a non-executive Director, but has certain specific responsibilities for financial matters of the Group.

BALOO C PATEL

Aged 67, Mr Patel joined the Board in May 2002. He is a significant shareholder in the Company and has extensive business interests in Kenya. He is also a Director of Pan African Insurance Holdings Limited. His varied business experience brings a wide range of additional skills to the Board.

NOTICE IS HEREBY GIVEN that the thirty-sixth Annual General Meeting of the shareholders of Carbacid Investments Limited will be held at Holiday Inn (Palm Room), Parklands Road, Nairobi on Friday, 8th December 2006 at 10.00 a.m., for the following purposes:

- 1 To consider the Directors' Report and audited financial statements for the year ended 31 July 2006.
- 2 To approve Directors' fees.
- 3 To declare a final dividend of Shs 3 per share to shareholders registered on 7th November 2006.
- 4 To elect Directors:
 - (a) Mr M K R Shah retires by rotation and, being eligible, offers himself for re-election.
 - (b) Mr R A Shepherd retires by rotation and, being eligible, offers himself for re-election.
- 5 To authorize the Directors to fix the remuneration of the auditors, Deloitte & Touche.

By Order of the Board

N P KOTHARI
Secretary
Nairobi
25 October 2006

A member entitled to attend and vote at this meeting is entitled to appoint one or more proxies to attend and vote instead of him. A proxy need not be a member of the Company. A detachable proxy form is at the end of the financial statements.

The financial year ended 31 July 2006 has been of some major events for your Company.

In December 2005, BOC Kenya Limited (BOC) served the Board of Directors of Carbacid Investments Limited (Carbacid) with a notice of intention to acquire effective control of Carbacid by making a written conditional Offer to all Carbacid shareholders. On 14th December 2005, Carbacid received an Offeror's Statement from BOC and, in accordance with the provisions of the Capital Markets Regulations, on 16th December 2005 Carbacid caused a press notice to be published in which it announced that it had received the Offeror's Statement. In February 2006, BOC issued its Offer Document dated 22nd February 2006, which was distributed to the Carbacid shareholders. The Offer was to open on 22nd February 2006 and close on 4th April 2006. The Closing Date was subsequently extended to 25th April 2006. In accordance with the Capital Markets Authority Regulations, the Board of Directors of Carbacid engaged an independent advisor – Suntra Investment Bank Limited – to advise the Board and the shareholders of Carbacid about the Offer. The Board also prepared and presented a circular dated 1st March 2006 to the Carbacid shareholders. The Board Circular contained comments on and an analysis of the Offer and a recommendation to the Carbacid shareholders that the Offer should be accepted. The Independent Advisor, on its part, prepared a circular dated 6th March 2006, whose conclusion read *"Having evaluated the Offer and the future long term prospects for Carbacid and for BOC Kenya, we would recommend to the shareholders of Carbacid to accept the Offer as per the Offer Document from BOC dated 15th February 2006."*

By the time the Offer closed on 25th April 2006 there was overwhelming support for the acceptance of the Offer and BOC waived its minimum threshold for acceptances. The Capital Markets Authority (the Authority) was not satisfied with the manner the waiver was exercised, which led to a substantial dispute between BOC and the Authority. That dispute has been referred to the Capital Markets Tribunal (CMA Tribunal) and it is expected that the hearing will be completed and a ruling given in December 2006. After that time it will either be possible to go ahead and complete the transaction or the Offer will have deemed to have lapsed and each party will revert to its original position.

Your Board is very concerned that it has taken so long to resolve this issue, during which time the shares have been suspended from trading at the Nairobi Stock Exchange. Your Board has made strong representations to the Authority that the shareholders of Carbacid are keen to proceed with the transaction but regrettably, the matter will now have to be determined by the CMA Tribunal.

Whilst all this has been going on, I am pleased to report that the Carbacid Group has achieved yet another year of successful trading and improved results. Exports have increased due to more intense marketing activities and our pursuit of new markets. These factors coupled with a tight control of operating costs resulted in sales increasing by 17% and operating profits by 13.5%. Net profits after tax have increased by 12%. The full benefit of the growth in export sales (which are all priced in US dollars) has been somewhat dampened by the strong shilling during the year. Administrative expenses show a significant increase compared with the previous year due to the one off legal and professional costs incurred in connection with BOC Offer. If we exclude the costs, growth in the operating profit, the net profit would be about 24%.

The Company's carbon dioxide facilities continue to be maintained to the highest standards to ensure high levels of operational efficiency and to provide products of the highest quality in Africa. This was recognized by the Company attaining the ISO 9001 - 2000 certification in July 2006. There is continued focus on expanding the export markets and in identifying new markets and new uses for its main products of carbon dioxide and dry ice.

The Company's investment portfolio has yielded improved results in 2005/6 in terms of interest earned (up by 30%) because of good yields on investments in bonds and treasury instruments. In anticipation of the BOC transaction being completed by May or June 2006, the Board decided to maintain the investments in a liquid form such that the special dividend could have been paid immediately on completion.

Your Board approved the payment of two interim dividends totalling Shs. 4.50 per share during the year and now recommends a final dividend of Shs. 3/- per share to be paid in December 2006. That will make a total dividend of Shs. 7.50 per share for the full year to 31st July 2006, compared to Shs 5/- for the previous year.

In the current year, returns on investments in treasury bills and deposits are expected to stay flat in line with the trends in interest rates. Your Board, however, is looking at ways of increasing the returns through other investments in the market. The expected improvement in the Kenyan economy and the growth in export markets should also help to improve demand for carbon dioxide gas and related products.

Your Board continues to place great emphasis on Corporate Governance and a statement on Corporate Governance is included in the Annual Report.

Finally, on behalf of the Board of Directors, I would like to extend my appreciation to all our staff and their efforts in helping achieve another successful year for your Company. During the year, Mr Peter Simpson retired after over 15 years of service. His function has been ably taken over by Mr Sandeep Bhaduri, in capacity of Acting General Manager. I would also like to record my appreciation for the guidance and contribution of my fellow Board members.

Nairobi
16 October 2006

J M Wanjigi
Chairman

Mwaka wa fedha hadi Julai 31, 2006 umekuwa wa matukio makubwa kwa kampuni yenu (Carbacid).

Hapo Desemba 2005, BOC Kenya Limited (BOC) ilitoa kwa halmashauri ya wakurugenzi ya Carbacid ilaani ya nia ya kutaka kupata kumiliki sehemu kubwa ya hisa za Carbacid kwa kutoa toleo lenye masharti lililo andikwa kwa wenye hisa wote wa Carbacid. Hapo Desemba 14, 2005 Carbacid ilipata taarifa ya mwenye kutoa toleo kutoka kwa BOC na kuambatana na masharti ya soko za mtaji hapo Desemba 16, 2005, Carbacid ilifanya ilani kwenye vyombo vya habari kuchapishwa ambamo ilitangaza kwamba imepokea taarifa ya mwenye kutoa toleo. Hapo Februari 2006, BOC ilitoa stakabadhi ya toleo iliyokuwa na tarehe Februari 22, 2006 ambayo ilitolewa kwa wenye hisa wote wa Carbacid. Toleo hili lilikuwa lifunguliwe hapo Februari 22, 2006 na kufungwa Aprili 4, 2006. Tarehe ya kufungwa hatimaye ilisongezwa hadi Aprili 25, 2006 kuambatana na maagizo ya halmashauri la soko za mtaji, halmashauri ya wakurugenzi ilimwajiri mshauri wa kujitegemea, Suntra Investment Bank Limited – kupatia ushauri halmashauri ya wakurugenzi na wenye hisa kuhusu toleo hili. Halmashauri ya wakurugenzi ya Carbacid pia ilitayarisha na kutoa barua kwa wenye hisa iliyokuwa na tarehe Machi 1, 2006 kwa wenye hisa wa Carbacid. Barua kutoka kwa halmashauri kwa wenye hisa ilikuwa na maoni na uchambuzi wa toleo hilo na mapendekezo kwa wenye hisa kwamba toleo hilo likubaliwe. Mshauri wa kujitegemea kwa upande wake, alitayarisha barua yenye tarehe ya Machi 6, 2006 ambayo ilitamitishwa *“Baada ya kukadiria toleo hilo na matumaini ya baadaye ya muda mrefu ya Carbacid pamoja na ya BOC, sisi tungependekeza kwa wenye hisa wa Carbacid kukubali toleo hilo kuambatana na stakabadhi ya toleo kutoka BOC yenye tarehe Februari 15, 2006.”*

Kufikia wakati toleo lilifungwa hapo Aprili 25, 2006 kulikuwa na kuungwa mkono zaidi kwa kukubaliwa toleo hilo pamoja na BOC kuondoa hitaji la kiwango cha chini cha watakao kubali. Halmashauri ya soko za mtaji haikuridhika na namna ya kuondoa hitaji hili. Hii ilileta mzozo mkubwa baina ya BOC na halmashauri hio. Mzozo huu umepelekwa kwa Kamati ya kutatua mizozo ya soko za mtaji (CMA Tribunal) na inatarajiwa kusikizwa kutakamilika na uamuzi kutolewa Desemba 2006. Baada ya wakati huo, aidha itawezekana kuendelea mbele na kukamilisha uuzaji huo au toleo litakuwa limechukuliwa limekwisha na kila upande utarejea hali yake ya hapo mwanzoni.

Halamashauri yenu ina wasiwasi kwamba imechukua muda mrefu kutatua jambo hili, kwa wakati huo, mauzo ya hisa yakiwa yamesimamishwa katika soko la hisa la Nairobi. Halmashauri yenu imetoa malalamiko makali kwa halmashauri ya soko za mtaji kwamba wenye hisa wa Carbacid wangependa kuendelea mbele na uuzaji huu. La kusikitisha ni kwamba jambo hili sasa ni lazima kutatuliwa na kamati ya katatua mizozo ya soko za mtaji.

Hata hayo yakijiri, nina furaha kuripoti ya kwamba kundi la Carbacid limeweza kupata mwaka mwingine wenye matokeo yenye mafanikio na matokeo yalioimarika. Mauzo katika nchi za nje yameongezeka kutokana na shughuli nyingi za kutafuta mauzo na juhudi za kutafuta soko mpya. Sababu hizo pamoja na kudhibiti matumizi ya utenda kazi yalifanya mauzo kuongezeka kwa asilimia 17 na faida kutokana na utenda kazi kwa asilimia 13.5. Faida baada ya ushuru imeongezeka kwa asilimia 12. Manufaa yote kutokana na ongezeko katika mauzo katika nchi za nje (yote ambayo bei yake ni katika Dola za Kimarekani) yameadhiwa na Shilingi yenye nguvu katika mwaka huu. Matumizi yasio husiana na utengezaji bidhaa yameonyesha ongezeko kubwa ukilinganishwa na mwaka uliopita kutokana na matumizi ya kipekee ya kisheria na kazi zingine yaliopatikana kuhusiana na toleo la BOC. Tukiondoa matumizi haya, ongezeko katika faida kutokana na utenda kazi na faida baada ya ushuru ingekua asilimia 24.

Mitambo ya kampuni ya carbon dioxide inaendelea kuhifadhiwa katika viwango vya juu zaidi ili kuhakikisha ngazi za juu za utenda kazi na kutoa bidhaa za hali ya juu zaidi hapa Afrika. Hii ilidhihirika kwa kampuni kupata hati ya ISO 9001-2000 hapo

Julai 2006. Kuna jitihada zinazoendelea zikianganzia kupanua mauzo ya nchi za nje na kutambua soko mpya na matumizi mapya kwa bidhaa yake kubwa ya carbon dioxide na barafu kavu.

Rasilimali za Kampuni zinazotumika kupata faida zimeleta matokeo yalioimarika katika 2005/6 katika mapato ya riba (juu kwa asilimia 30) kwa sababu ya mapato mazuri kutoka kwa hundi za serikali. Kutokana na matarajio ya kwamba mauzo ya hisa kwa BOC yangekamilika Mei au Juni 2006 halmashauri ya wakurugenzi iliamua kuendelea kuweka rasilimali za kampuni zinazotumika kutafuta faida katika hali sawa na pesa ili mgao wakipekee ungefanywa mara tu baada ya mauzo haya kukamilika.

Halmashauri yenu ya wakurugenzi ilipitisha kulipwa kwa migao miwili ya muda ya jumla ya shilingi 4.50 kwa kila hisa katika mwaka na sasa wanapendekeza mgao wa mwisho wa mwaka wa shilingi 3/- ulipwe Desemba 2006. Hii inafanya jumla ya shilingi 7.50 kwa kila hisa kwa mwaka wote hadi Julai 31, 2006 ukilinganishwa na shilingi 5/- kwa mwaka uliopita.

Katika mwaka ulioanza, mapato kutoka kwa rasilimali kutoka kwa hundi za serikali na akiba za benki yanatarajiwa kuwa sawa kuambatana na mabadiliko katika viwango vya riba. Halmashauri yenu inatafuta njia za kuongeza mapato kutoka kwa rasilimali nyingine katika soko. Matumaini ya kuimarika zaidi kwa uchumi wa Kenya na ongezeko la soko za nchi za nje zitasaidia kuimarisha mahitaji ya gesi ya carbon dioxide na bidhaa zinazohusiana.

Halmashauri yenu ya wakurugenzi inaendelea kutilia makazo kwenye desturi ya mwongozo wa mashirika na taarifa kuhusu mwongozo wa mashirika imejumlishwa katika ripoti ya mwaka.

Mwisho, kwa niaba ya halmashauri ya wakurugenzi, ningependa kutoa shukrani zangu kwa wafanyi kazi wote kwa juhudi zao katika kusaidia kupata mwaka mwingine wenye mafanikio kwa Kampuni yenu. Katika mwaka huu, Bwana Peter Simpson alistaafu baada ya zaidi ya miaka 15 ya huduma. majukumu yake yamechukuliwa vizuri na Bwana Sandeep Bhaduri kama kaimu mkurugenzi mkuu. Ningependa pia kutoa shukrani kwa mwongozo na mchango wa wakurugenzi wenzangu.

Nairobi
Oktoba 16, 2006

J M Wanjigi
Mwenyekiti

The directors present their report together with the group audited financial statements for the year ended 31 July 2006.

ACTIVITIES

The company is an investment and holding company with one wholly owned operating subsidiary, Carbacid (CO₂) Limited, whose principal activity is the mining and sale of carbon dioxide gas.

RESULTS

	Sh'000
Profit before taxation	179,213
Taxation	<u>(52,491)</u>
Net profit for the year transferred to revenue reserve	<u>126,722</u>

DIVIDENDS

Interim dividends totalling Shs 4.50 per share, comprising an interim dividend of 25% (Shs 1/25 per share) out of the revenue reserves as at 31 July 2005 and an interim dividend of 65% (Shs 3/25 per share) in respect of the year ended 31 July 2006 (2005 - 45%, Shs 2.25 per share) totalling Shs 50,970,398 (2005 - Shs 25,485,199) were paid during the year. The Directors propose a final dividend of Shs 3 per share (2005 - Shs 2.75) amounting to Shs 33,980,265 (2005 - Shs 31,148,576).

DIRECTORS

The current board of directors is shown on page 2

Mr P R Simpson retired on 31 January 2006.

Mr J M Wanjigi and Mr B C Patel retire by rotation and being eligible, offer themselves for re-election.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with the provision of section 159 (2) of the Companies Act (Cap. 486).

By Order of the Board

N P KOTHARI
Secretary
Nairobi
16 October 2006

The Company is committed to the maintaining high standards of Corporate Governance and the disclosures in this year's accounts are in recognition of this commitment.

The role of the Board

The Board is responsible for the long-term growth and profitability of the Carbacid Group. The Board charts the direction of the Group and monitors management's performance on behalf of the shareholders. A critical role of the Board is to ensure that the Group is pursuing a strategy that increases profitability and shareholders' value.

Board meetings

The Board normally meets quarterly each year for scheduled meetings and on other occasions to deal with specific matters that require attention between scheduled meetings. Scheduled meetings include annual strategic reviews, review of quarterly performance and monitoring of business and operational issues. During the year the Board had six meetings, most of which were attended by all the directors.

Composition of the Board

The composition of the Board is given on Page 2 of this report. In January 2006, Mr Peter Simpson retired after over 15 years of service. His function has been ably taken over by Mr Sandeep Bhaduri, in the capacity of Acting General Manager. The Board will continue to have substantial majority of independent directors. All the four Directors, Mr Wanjigi, Mr Patel, Mr Shepherd and Mr Shah are non-executive Directors. All non-executive Directors are considered by the Board to be independent of management.

One third of the members of the Board retire by rotation each year and may offer themselves for re-election if eligible in accordance with the Company's Articles of Association. Any Director appointed by the Board will be subject to election by shareholders at the first opportunity after his or her appointment and will not be taken into account in determining the Directors who are to retire by rotation at that meeting.

Board Committees

The Board carries out certain of its duties by delegation to Board Committees from time to time. These Committees meet regularly and make recommendations to the Board on issues delegated to them. The Committees operate under Terms of Reference approved by the Board and their duties extend across the Group.

Audit Committee- The Committee assists the Company's Board to discharge its corporate governance responsibilities, including the Group's relationship with, and the independence of, the external auditors; the reliability and appropriateness of the disclosure in the financial statements and external financial communication; and the maintenance of an effective business risk management framework including compliances and internal controls.

Other committees in place are the Strategic Committee and the Staff Committee. The committees met as follows during 2005/6.

- Audit Committee - Twice
- Strategic Committee - Six (combined with the main Board meetings)
- Staff Committee - Twice

Business and Financial Planning

A detailed budget for the forthcoming financial year is presented to the Board for approval at the beginning of that year. Management accounts comparing actual results against budget and previous years and revised forecasts for the remainder of the financial year are produced each month. Significant variances from budget are highlighted and explained and, where appropriate, corrective action is indicated.

The Board attaches great importance to maintaining a strong control environment and the system of internal controls includes the assessment of non-financial risks and controls.

The Board has established a management structure, which clearly defines roles, responsibilities and reporting lines. Delegated authorities are documented and communicated.

Communications with shareholders

The Company is committed to:

- Ensuring that shareholders and the financial markets are provided with full and timely information about its performance
- Complying with continuous obligations contained in applicable Listing Rules and the Capital Markets Authority Act applicable in Kenya.

Information is communicated to the shareholders through the distribution of the annual report and press notices following release of the half-yearly results and whenever there are other significant developments to report on.

Corporate Social Responsibility

The Company believes that it has a responsibility to contribute to the improvement of the community where possible. In this regard, the Company has continued its Carbacid Scholarships programme to the three best students each term in Forms I to IV of Kimende High School, Matathia. The school is located close to the Company's production facility. The Company has also contributed to the Greening Kereita Forest project and is committed to continue supporting this important environmental project. Carbacid has also supported the Rhino Ark Fencing project that is helping to protect the wildlife and the environment.

Directors' benefits and loans

Since the last Annual General Meeting of the Company to the date of this report, no Director has received or become entitled to receive any benefit other than Directors' fees and amounts received under employment contracts.

The aggregate amount of emoluments for Directors' services rendered in the financial year is disclosed on page 25.

Neither at the end of the financial year nor at any time during the year did there exist any arrangement to which the Group is a party whereby Directors might acquire benefits by means of the acquisition of shares in the Group. There were no Directors' loans at any time during the year.

Directors' interest

The interest of the Directors in the shares of the Company as at 31 July 2006 were as follows:

Name	No. of Shares
Mr J M Wanjigi	168,081
Including shares held by a company in which he has an interest	
Mr B C Patel	1,116,033

Distribution of shareholders as at 31 July 2006

Shareholding (No. of Shares)	No. of shares held	No. of shareholders	% shareholding
Less than 500	47,057	218	0.42
500 - 5,000	926,683	492	8.18
5,001 - 10,000	297,800	40	2.63
10,001 - 100,000	1,529,472	46	13.50
100,001 - 1,000,000	3,205,644	9	28.30
above 1,000,000	5,320,099	3	46.97
Total	11,326,755	808	100.00

Major shareholders

The top 10 major shareholders as at 31 July 2006, were as follows:

Name	No. of Shares	% Shareholding
Alliance Nominees Limited	2,561,481	22.61
Mrs A Patel	1,699,000	15.00
Mr B C Patel	1,116,033	9.85
Leverton Limited	1,059,618	9.36
Kivuli Limited	660,000	5.83
Miss T I Friedman	501,142	4.42
Miss N Stubbs	250,790	2.21
Cannon Assurance (Kenya) Limited	237,271	2.09
Mrs B C Kampf	179,428	1.58
Estate of the late Carin Maria Parfitt	153,148	1.35

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure the group and the company keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and the company. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiary will not remain a going concern for at least the next twelve months from the date of this statement.

J M WANJIGI
Director

M K R SHAH
Director

16 October 2006



**Deloitte & Touche
Certified Public Accountants (Kenya)**

"Kirungii"
Ring Road, Westlands
P.O. Box 40092 - GPO 00100
Nairobi
Kenya

Tel: + (254 - 20) 444 1344/05-12

Fax: + (254 - 20) 444 8966

Dropping Zone No. 92

E-mail: admin@deloitte.co.ke

We have audited the financial statements on pages 15 to 33 for the year ended 31 July 2006 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

As described on page 13, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by the directors, and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

- (a) proper books of account have been kept by the company and the company's balance sheet is in agreement therewith;
- (b) the financial statements give a true and fair view of the state of affairs of the company and the group at 31 July 2006 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.

DELOITTE & TOUCHE

16 October 2006

Audit . Tax . Consulting . Financial Advisory.

A member firm of
Deloitte Touche Tohmatsu

Partners: D.M.Ndonye H.Gadhoke* D.C. Hodges* J.M.Kiarie M.M.Kisuu S.O.Onyango J.W.Wangai

*British

consolidated
income statement

FOR THE YEAR ENDED 31 JULY 2006

	Note	2006 Sh'000	2005 Sh'000
TURNOVER		318,975	271,688
COST OF SALES		(125,644)	(108,745)
GROSS PROFIT		193,331	162,943
OTHER OPERATING INCOME		11,859	9,456
ADMINISTRATIVE EXPENSES		(53,721)	(38,902)
OPERATING PROFIT	4	151,469	133,497
FINANCE INCOME - NET	6	27,744	25,153
PROFIT BEFORE TAXATION		179,213	158,650
TAXATION	7	(52,491)	(45,315)
NET PROFIT FOR THE YEAR ATTRIBUTABLE TO SHAREHOLDERS	8	126,722	113,335
EARNINGS PER SHARE – Basic and diluted	9	Sh 11.18	Sh 10.01
DIVIDEND PER SHARE	10	Sh 7.50	Sh 5.00

consolidated
balance sheet

31 JULY 2006

	Note	2006 Sh'000	2005 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	11	471,398	496,283
Investment property	12	28,000	28,000
Operating lease prepayments	13	23,235	23,705
Equity investments	15	19,337	23,442
Bonds and treasury bills	16	24,550	42,761
		566,520	614,191
Current assets			
Inventories	17	13,593	12,221
Trade and other receivables	18	78,336	60,178
Taxation recoverable		5,739	924
Bonds and treasury bills	16	19,963	71,961
Commercial paper	19	124,185	79,525
Short term deposits	20	161,410	80,390
Bank and cash balances		56,751	76,570
		459,977	381,769
Total assets		1,026,497	995,960
EQUITY AND LIABILITIES			
Share capital and reserves			
Share capital	21	56,634	56,634
Revaluation reserve		246,463	251,815
Revenue reserve		557,364	476,260
Proposed dividend - gross		-	31,149
Shareholders' equity		860,461	815,858
Non current liabilities			
Deferred income taxes	22	134,704	142,506
Current liabilities			
Trade and other payables	23	31,332	27,282
Taxation payable		-	10,314
		31,332	37,596
Total equity and liabilities		1,026,497	995,960

The financial statements on pages 15 to 33 were approved by the board of directors on 16 October 2006 and were signed on its behalf by:

J M WANJIGI	}	Directors
M K R SHAH		

31 JULY 2006

	Note	2006 Sh'000	2005 (Restated) Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	11	2,880	2,940
Investment property	12	28,000	28,000
Operating lease prepayments	13	23,208	23,678
Investment in subsidiary company	14	189,028	189,028
Equity investments	15	19,337	23,442
Bonds and treasury bills	16	24,550	42,761
		<u>287,003</u>	<u>309,849</u>
Current assets			
Bonds and treasury bills	16	19,963	71,961
Trade and other receivables	18	164	2,525
Taxation recoverable		3,284	924
Commercial paper	19	124,185	79,525
Short term deposits	20	161,410	80,390
Bank and cash balances		7,848	23,697
		<u>316,854</u>	<u>259,022</u>
Total assets		<u>603,857</u>	<u>568,871</u>
EQUITY AND LIABILITIES			
Share capital and reserves			
Share capital	21	56,634	56,634
Revaluation reserve		172,946	172,988
Revenue reserve		359,020	296,780
Proposed dividend - gross		-	31,149
Shareholders' equity		<u>588,600</u>	<u>557,551</u>
Non current liabilities			
Deferred income taxes	22	5,486	5,693
Current liabilities			
Trade and other payables	23	9,771	5,627
Total equity and liabilities		<u>603,857</u>	<u>568,871</u>

The financial statements on pages 15 to 33 were approved by the board of directors on 16 October 2006 and were signed on its behalf by:

J M WANJIGI	}	Directors
M K R SHAH		

consolidated
statement
of changes in equity

FOR THE YEAR ENDED 31 JULY 2006

	Share capital Sh'000	Revaluation reserve Sh'000	Revenue reserve Sh'000	Proposed dividend Sh'000	Total Sh'000
At 1 August 2004	56,634	267,776	403,598	25,485	753,493
Transfer of excess depreciation	-	(22,801)	22,801	-	-
Deferred tax on excess depreciation	-	6,840	(6,840)	-	-
Net profit for the year	-	-	113,335	-	113,335
Final dividend paid - 2004	-	-	-	(25,485)	(25,485)
Interim dividend paid - 2005	-	-	(25,485)	-	(25,485)
Proposed final dividend - 2005	-	-	(31,149)	31,149	-
At 31 July 2005	<u>56,634</u>	<u>251,815</u>	<u>476,260</u>	<u>31,149</u>	<u>815,858</u>
At 1 August 2005	56,634	251,815	476,260	31,149	815,858
Transfer of excess depreciation	-	(7,646)	7,646	-	-
Deferred tax on excess depreciation	-	2,294	(2,294)	-	-
Net profit for the year	-	-	126,722	-	126,722
Final dividend paid - 2005	-	-	-	(31,149)	(31,149)
Interim dividend paid - 2006	-	-	(36,812)	-	(36,812)
Second interim dividend - 2006	-	-	(14,158)	-	(14,158)
At 31 July 2006	<u>56,634</u>	<u>246,463</u>	<u>557,364</u>	<u>-</u>	<u>860,461</u>

The revaluation reserve is not distributable and represents the surplus arising from the revaluation of property, plant and equipment.

	Share capital Sh'000	Revaluation reserve Sh'000	Revenue reserve Sh'000	Proposed dividend Sh'000	Total Sh'000
At 1 August 2004					
- as previously stated	56,634	405,019	266,355	25,485	753,493
- prior year adjustment	-	(231,989)	-	-	(231,989)
As restated	56,634	173,030	266,355	25,485	521,504
Transfer of excess depreciation	-	(60)	60	-	-
Deferred tax on excess depreciation	-	18	(18)	-	-
Net profit for the year	-	-	87,017	-	87,017
Final dividend paid - 2004	-	-	-	(25,485)	(25,485)
Interim dividend paid - 2005	-	-	(25,485)	-	(25,485)
Proposed final dividend - 2005	-	-	(31,149)	31,149	-
At 31 July 2005	56,634	172,988	296,780	31,149	557,551
At 1 August 2005					
- as previously stated	56,634	431,295	296,780	31,149	815,858
- prior year adjustment	-	(258,307)	-	-	(258,307)
As restated	56,634	172,988	296,780	31,149	557,551
Transfer of excess depreciation	-	(60)	60	-	-
Deferred tax on excess depreciation	-	18	(18)	-	-
Net profit for the year	-	-	113,168	-	113,168
Final dividend paid - 2005	-	-	-	(31,149)	(31,149)
Interim dividend paid - 2006	-	-	(36,812)	-	(36,812)
Second interim dividend - 2006	-	-	(14,158)	-	(14,158)
At 31 July 2006	56,634	172,946	359,020	-	588,600

The revaluation reserve is not distributable and represents the movement arising from the revaluation of property, plant and equipment.

The prior year adjustment is as a result of the revision of International Accounting Standard No 27 - Consolidated and Separate Financial Statements, which now requires investment in subsidiaries to be stated at cost in the company's separate financial statements.

consolidated
cash flow statement

FOR THE YEAR ENDED 31 JULY 2006

	Note	2006 Sh'000	2005 Sh'000
OPERATING ACTIVITIES			
Cash generated from operations	24(a)	168,019	141,667
Interest received		27,296	20,851
Taxation paid		(75,422)	(45,000)
Net cash generated from operating activities		119,893	117,518
INVESTING ACTIVITIES			
Purchase of plant and equipment		(17,875)	(11,937)
Proceeds from disposal of plant and equipment		5,608	1,483
Purchase of bonds		-	(20,001)
Redemption of bonds		42,291	34,100
Dividends received		917	1,588
Proceeds on sale of equity investments		14,480	43,745
Purchase of equity investments		(6,805)	(24,590)
Net cash generated from investing activities		38,616	24,388
FINANCING ACTIVITIES			
Dividends paid		(82,119)	(51,013)
INCREASE IN CASH AND CASH EQUIVALENTS		76,390	90,893
CASH AND CASH EQUIVALENTS AT 1 AUGUST		265,956	175,063
CASH AND CASH EQUIVALENTS AT 31 JULY	24(b)	342,346	265,956

1 ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted remain unchanged from the previous year and are as stated below:

Adoption of new and revised international financial reporting standards

In 2005 several new and revised standards became effective for the first time and have been adopted by the company where relevant to its operations. Except for the change in IAS 27 which has required investment in subsidiaries to be stated at cost in the company's separate financial statements, the adoption of the other revised standards had no effect on the amounts reported for the current or prior years. These changes in presentation and disclosure were as follows:

- IAS 1 on presentation of financial statements has necessitated the disclosure of critical management judgements and uncertainties
- IAS 10 has affected the presentation of proposed dividends
- IAS 16 has required the disclosure of comparative figures for movements in property and equipment
- IAS 24 has required the disclosure of the compensation of key management personnel
- IAS 27 has required investment in subsidiaries to be stated at cost in the company's separate financial statements

(a) Basis of preparation

The financial statements have been prepared on the historical cost basis of accounting, as modified by the revaluation of certain items of property, plant and equipment, investment property and investment in subsidiary.

(b) Basis of consolidation

Subsidiary undertakings, being those companies in which the Group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and are no longer consolidated as from the date of disposal. All inter company balances and unrealised surpluses and deficits on transactions with the subsidiary company have been eliminated.

The consolidated financial statements incorporate the financial statements of the company and its wholly owned subsidiary, Carbacid (CO₂) Limited, whose financial year ends on 31 July.

(c) Turnover

Income is recognised upon despatch of goods to customers and represents the value of carbon dioxide gas and dry ice invoiced to customers, excluding value added tax.

(d) Dividend income

Dividend income from equity investments is recognised when the company's right as a shareholder is established.

(e) Inventories

Carbon dioxide gas and dry ice inventories are stated at the lower of cost and net realisable value. Cost comprises materials and, where appropriate, labour and attributable overheads. Net realisable value is the selling price in the ordinary course of business. The cost of other inventories is determined on the weighted average cost basis.

(f) Property, plant and equipment

Property, plant and equipment is stated at cost or at valuation less accumulated depreciation and impairment losses.

1 ACCOUNTING POLICIES (continued)

(g) Depreciation

Depreciation is calculated to write off the cost or valuation of property, plant and equipment in equal instalments over its estimated useful lives at the following annual rates:

Buildings	Over 50 years, or remaining period of lease whichever is less
Boreholes	5%
Roads	10%
Motor vehicles	10% - 25%
Plant and equipment	5% - 33.3%

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from the revaluation reserve to the revenue reserve.

(h) Leasehold land

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the term of the lease.

(i) Investment in subsidiary company

Investment in subsidiary company is stated at cost less provision for impairment where applicable.

(j) Taxation

Current taxation is provided for on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred income tax is provided for, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

(k) Retirement benefit obligations

The group operates a defined contribution pension scheme for eligible non-unionisable employees. The scheme is externally administered and is funded by contributions from both the company and employees.

The group also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The company's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per employee per month.

The group's obligations to these schemes are recognised in the income statement as they fall due.

(l) Provision for employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the balance sheet date.

(m) Foreign currencies

Assets and liabilities expressed in foreign currencies are translated into Kenya shillings at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the income statement.

1 ACCOUNTING POLICIES (continued)

(n) Impairment

At each balance sheet date, the group reviews the carrying amounts of its financial assets, tangible and intangible asset to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

(o) Leases

Leases of property, plant and equipment where the Group assumes substantially all the benefits and risks of ownership are classified as finance leases. Finance leases are capitalised at the estimated present value of the underlying lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charge are included in other long term payables. The interest element of the finance charge is charged to the income statement over the lease period. The property, plant and equipment acquired under finance leasing contracts are depreciated over the estimated useful life of the related assets.

Leases of assets under which all the risks and benefits of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the income statement on the straight-line basis over the term of the lease.

When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

(p) Financial instruments

Financial assets and financial liabilities are recognised in the Group's balance sheet when the Group becomes a party to the contractual provisions of the instrument.

Trade receivables

Trade receivables are stated at their nominal value as reduced by appropriate allowances for estimated irrecoverable amounts.

Investments

Investments are recognised on a trade date basis and are measured at cost, including transaction costs. Quoted investments and unit trusts are stated at market value. Changes in their carrying amounts are dealt with in the income statement.

Trade payables

Trade payables are stated at their nominal value.

Treasury bills

Treasury bills are stated at redemption value less unearned discounts on purchase. Discounts on purchase are recognised to income over the period to maturity of the related instruments.

Treasury bonds

Investments in treasury bonds are stated at amortised cost. Interest receivable is recognised to income on the accrual basis. Discounts and premiums on purchase are recognised in the statement of changes in net assets at the date of acquisition.

1 ACCOUNTING POLICIES (continued)

(p) Financial instruments (continued)

Corporate bonds

Investments in corporate bonds are stated at amortised cost. Interest receivable is recognised to income on the accrual basis.

Commercial paper

Commercial paper is stated at redemption value less unearned discounts on purchase. Discounts on purchase are recognised to income over the period to maturity of the related instrument.

(q) Investment properties

Investment properties are treated as long term investments and are carried at market value determined, on a periodic basis, by external independent valuers. Investment properties are not subject to depreciation. Changes in their carrying amounts are dealt with in the income statement.

Upon disposal of an investment property, the difference between the net disposal proceeds and the carrying amount is charged or credited to the income statement.

(r) Segmental reporting

Segment results include revenue and expenses directly attributable to a segment.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one financial year (property, plant and equipment).

2 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

In the process of applying the company's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within current and future financial years. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The critical areas of accounting estimates and judgements in relation to the preparation of these financial statements are as set out below:

Impairment of assets

At each balance sheet date, the company reviews the carrying amount of its assets to determine whether there is any indication that these assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of impairment.

3 SEGMENTAL INFORMATION

(a) Primary reporting format - Business segments

	CO ₂ trading Sh'000	Carbacid Investments Sh'000	Group Sh'000
2006			
Turnover	318,975	-	318,975
Profit before taxation	148,620	30,593	179,213
Segment assets	603,857	422,640	1,026,497
Segment liabilities	150,779	12,527	166,036
Depreciation	33,571	60	33,631
Amortisation	-	470	470
Capital expenditure	21,800	-	21,800
2005			
Turnover	271,688	-	271,688
Profit before taxation	130,385	28,265	158,650
Segment assets	616,117	379,843	995,960
Segment liabilities	168,782	11,320	180,102
Depreciation	33,002	60	33,062
Amortisation	-	470	470
Capital expenditure	11,937	-	11,937

(b) Secondary reporting - geographical segments

The group's revenues are derived from sales in the following markets:

	2006 Sh'000	2005 Sh'000
Domestic sales - Kenya	165,003	157,776
Export sales - other East African countries	153,972	113,912
	<u>318,975</u>	<u>271,688</u>

4 OPERATING PROFIT

The operating profit is arrived at after charging:

Directors' emoluments		
Fees	3,827	4,023
Other emoluments	10,647	9,785
Auditors' remuneration	1,450	1,208
Staff costs (note 5)	41,597	36,070
Depreciation	33,631	33,062
Amortisation of operating lease prepayment	-	470
Loss on disposal of plant and equipment	3,521	2,725

5 STAFF COSTS

Salaries and wages	38,269	34,177
Social security costs	136	131
Pension costs - defined contribution plan	3,164	1,822
Leave pay expense	28	(60)
	<u>41,597</u>	<u>36,070</u>

FOR THE YEAR ENDED 31 JULY 2006

6 FINANCE INCOME - NET

	2006 Sh'000	2005 Sh'000
Interest receivable from - bonds and treasury bills	8,015	11,596
- commercial paper	12,324	2,721
- Short term investments and deposits	5,127	5,794
- bank current account	1,831	740
	27,297	20,851
Net foreign exchange losses	(5,592)	(4,475)
Realised (loss)/ gain on sale of equity investments	(204)	3,661
Dividends receivable - gross	917	1,588
Unrealised market gain on equity investments	5,326	3,528
	27,744	25,153

7 TAXATION

(a) TAX CHARGE

Current taxation based on taxable profit at 30%	60,293	54,488
Deferred tax credit (note 22)	(7,802)	(9,173)
	52,491	45,315

(b) RECONCILIATION OF EXPECTED TAX BASED ON ACCOUNTING PROFIT TO TAX EXPENSE

Accounting profit before taxation	179,213	158,650
Tax at the applicable rate of 30%	53,764	47,596
Tax effect of expenses not deductible for tax purposes	2,370	276
Tax effect of income not taxable	(3,643)	(2,557)
	52,491	45,315

8 PROFIT ATTRIBUTABLE TO SHAREHOLDERS

The profit attributable to shareholders dealt with in the company financial statements of Carbacid Investments Limited is Sh 113,168,000 (2005 – Sh 87,017,000).

9 BASIC EARNINGS PER SHARE

Basic earnings per share is based on the profit attributable to shareholders for the year of Sh 126,722,000 (2005 – Sh 113,335,000) and on the 11,326,755 (2005 – 11,326,755) shares in issue during the year.

There were no potentially dilutive shares outstanding at 31 July 2006 or 31 July 2005.

FOR THE YEAR ENDED 31 JULY 2006

10 DIVIDEND PER SHARE

	2006 Sh	2005 Sh
Interim dividends paid	4.50	2.25
Final dividend proposed	3.00	2.75
	<u>7.50</u>	<u>5.00</u>

Proposed dividends

Proposed dividends are not accounted for until they have been ratified at the Annual General meeting. Two interim dividends totalling Shs 4.5 per share (2005 – Shs 2.25) were paid during the year amounting to Shs 50,970,398 (2005 – Shs 25,485,199). The Directors propose a final dividend of Shs 3 per share (2005 – Shs 2.75) amounting to Shs 33,980,265 (2005 – Shs 31,148,576). The financial statements for the year ended 31 July 2006 do not reflect this resolution which will be accounted for in shareholders' equity as an appropriation of retained profits in the year ending 31 July 2007.

During the year, the company paid dividends amounting to Sh 82,119,000 (2005 – Sh 56,634,000).

11 PROPERTY, PLANT AND EQUIPMENT - GROUP

	Buildings and boreholes Sh'000	Roads Sh'000	Motor Vehicles Sh'000	Plant and equipment Sh'000	Total Sh'000
COST OR VALUATION					
As at 1 August 2004	36,454	21,000	83,266	380,896	521,616
Additions	725	-	9,677	1,535	11,937
Disposals	-	-	(3,018)	(1,190)	(4,208)
At 31 July 2005	<u>37,179</u>	<u>21,000</u>	<u>89,925</u>	<u>381,241</u>	<u>529,345</u>
COMPRISING:					
Valuation – 2005	36,454	21,000	80,248	379,983	517,685
Cost	725	-	9,677	1,258	11,660
	<u>37,179</u>	<u>21,000</u>	<u>89,925</u>	<u>381,241</u>	<u>529,345</u>
As at 1 August 2005	37,179	21,000	89,925	381,241	529,345
Additions	63	-	11,047	6,765	17,875
Disposals	-	-	(10,483)	(19)	(10,502)
At 31 July 2006	<u>37,242</u>	<u>21,000</u>	<u>90,489</u>	<u>387,987</u>	<u>536,718</u>
COMPRISING:					
Valuation - 2005	36,454	21,000	69,765	379,964	507,183
Cost	788	-	20,724	8,023	29,535
	<u>37,242</u>	<u>21,000</u>	<u>90,489</u>	<u>387,987</u>	<u>536,718</u>

11 PROPERTY, PLANT AND EQUIPMENT - GROUP (Continued)

	Buildings and boreholes Sh'000	Roads Sh'000	Motor Vehicles Sh'000	Plant and equipment Sh'000	Total Sh'000
DEPRECIATION					
As at 1 August 2004	-	-	-	-	-
Charge for the year	830	2,100	9,223	20,909	33,062
At 31 July 2005	830	2,100	9,223	20,909	33,062
As at 1 August 2005	830	2,100	9,223	20,909	33,062
Charge for the year	830	2,100	8,590	22,111	33,631
Eliminated on Disposals	-	-	(1,372)	(1)	(1,373)
At 31 July 2006	1,660	4,200	16,441	43,019	65,320
NET BOOK VALUE					
At 31 July 2006	35,582	16,800	74,048	344,968	471,398
At 31 July 2005	36,349	18,900	80,702	360,332	496,283
NET BOOK VALUE (cost basis)					
At 31 July 2006	4,983	4,940	33,655	97,107	140,685
At 31 July 2005	5,027	5,557	28,760	97,202	136,546

The assets were valued by C P Robertson - Dunn, T. D. Registered valuation surveyor at 31 July 2004 on a depreciated replacement cost basis.

11 PROPERTY, PLANT AND EQUIPMENT - COMPANY

	Buildings Sh'000
COST OR VALUATION	
At 1 August 2005 and 31 July 2006	3,000
DEPRECIATION	
As at 1 August 2005	60
Charge for the year	60
At 31 July 2006	120
NET BOOK VALUE	
At 31 July 2006	2,880
At 31 July 2005	2,940
NET BOOK VALUE (cost basis)	
At 31 July 2006	223
At 31 July 2005	225

12 INVESTMENT PROPERTY – GROUP AND COMPANY

FAIR VALUE	Sh'000
At 1 August 2005 and 31 July 2006	<u>28,000</u>

13 OPERATING LEASE PREPAYMENTS

	GROUP Sh'000	COMPANY Sh'000
As at 1 August 2005	23,705	23,678
Amortisation for the year	470	470
At 31 July 2006	<u>23,235</u>	<u>23,208</u>

14 INVESTMENT IN SUBSIDIARY COMPANY

	2006 Sh'000	2005 Sh'000
Carbacid (CO ₂) Ltd – 100% owned	<u>189,028</u>	<u>189,028</u>

Investment in subsidiary company is stated at cost less provision for impairment where applicable.

15 EQUITY INVESTMENTS – GROUP AND COMPANY

	2006 Sh'000	2005 Sh'000
Equity investments at market value	<u>19,337</u>	<u>23,442</u>

Equity investments comprise marketable securities which are revalued annually at the close of business on 31 July by reference to Stock Exchange quoted prices. The market value approximates to fair value. Unrealised revaluation surpluses and deficits are dealt with in the income statement.

FOR THE YEAR ENDED 31 JULY 2006

16 BONDS AND TREASURY BILLS

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
Face value	44,850	116,350	44,850	116,350
Unearned discount	(337)	(1,628)	(337)	(1,628)
	<u>44,513</u>	<u>114,722</u>	<u>44,513</u>	<u>114,722</u>
Maturing within one year	(19,963)	(71,961)	(19,963)	(71,961)
	<u>24,550</u>	<u>42,761</u>	<u>24,550</u>	<u>42,761</u>
Maturing after one year				

The average interest rates received were as follows:

	GROUP AND COMPANY	
	2006	2005
Treasury bills	12 %	8.21%
Bonds	14.49 %	8.47%

17 INVENTORIES – GROUP AND COMPANY

	2006 Sh'000	2005 Sh'000
Carbon dioxide gas and dry ice	1,325	1,628
Spare parts and materials	9,649	9,104
Fuel and chemicals	1,454	1,279
Oxygen gas	1,165	210
	<u>13,593</u>	<u>12,221</u>

18 TRADE AND OTHER RECEIVABLES

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
Trade receivables	75,551	53,386	-	-
Prepayments	612	2,273	164	66
Other receivables	2,173	4,519	-	2,459
	<u>78,336</u>	<u>60,178</u>	<u>164</u>	<u>2,525</u>

19 COMMERCIAL PAPER – GROUP AND COMPANY

	2006 Sh'000	2005 Sh'000
Face value	125,000	81,000
Less: Unearned discount	(815)	(1,475)
	<u>124,185</u>	<u>79,525</u>

The average interest rate received was 6.0% (2005 –7.5%).

FOR THE YEAR ENDED 31 JULY 2006

20 SHORT TERM DEPOSITS - GROUP AND COMPANY

	2006 Sh'000	2005 Sh'000
Fixed deposits		
- Local currency	161,410	64,147
- Foreign currency	-	16,243
	<u>161,410</u>	<u>80,390</u>

All short term deposits mature within three months of the date placed.

The average interest rate realised on local currency fixed deposits during the year was 9 % (2005 – 6.53%).

21 SHARE CAPITAL

	2006 Sh'000	2005 Sh'000
Authorised:		
12,000,000 ordinary shares of Sh 5 each	60,000	60,000
Issued and fully paid:		
11,326,755 ordinary shares of Sh 5 each	<u>56,634</u>	<u>56,634</u>

22 DEFERRED INCOME TAXES

Deferred income taxes are calculated on all temporary differences under the liability method using the currently enacted tax rate of 30%. The net deferred taxation liability is attributed to the following items:

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
Accelerated capital allowances	27,690	31,491	-	-
Leave pay provision	(451)	(443)	-	-
Unrealised exchange losses	(1,677)	(1,343)	(192)	(1)
Revaluation surpluses - investment property	4,880	4,880	4,880	4,880
Revaluation surplus - property and equipment	104,262	107,921	798	814
	<u>134,704</u>	<u>142,506</u>	<u>5,486</u>	<u>5,693</u>
The movement on the deferred tax account is as follows:				
At 1 August	142,506	151,679	5,693	5,904
Income statement credit (note 7)	(7,802)	(9,173)	(207)	(211)
At 31 July	<u>134,704</u>	<u>142,506</u>	<u>5,486</u>	<u>5,693</u>
23 TRADE AND OTHER PAYABLES				
Trade payables	3,953	6,538	-	-
Unclaimed dividends	7,203	4,762	7,203	4,762
Other payables and accruals	18,672	14,506	2,568	865
Leave pay provision	1,504	1,476	-	-
	<u>31,332</u>	<u>27,282</u>	<u>9,771</u>	<u>5,627</u>

24 NOTES TO THE CASH FLOW STATEMENT

	2006 Sh'000	2005 Sh'000
(a) RECONCILIATION OF OPERATING PROFIT TO CASH GENERATED FROM OPERATIONS		
Operating profit	151,469	133,497
Amortisation	470	470
Depreciation	33,631	33,062
Loss on disposal of plant and equipment	3,521	2,725
Net foreign exchange losses	(5,592)	(4,475)
Operating profit before working capital changes	183,499	165,279
Increase in inventories	(1,372)	(1,682)
Increase in trade and other receivables	(18,158)	(16,103)
Increase/ (decrease) in trade and other payables	4,050	(5,827)
Cash generated from operations	168,019	141,667
(b) ANALYSIS OF CASH AND CASH EQUIVALENTS		
Treasury bills	-	29,471
Commercial paper	124,185	79,525
Short term deposits	161,410	80,390
Bank balances and cash	56,751	76,570
	342,346	265,956

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired.

25 RELATED PARTY TRANSACTIONS

Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

	2006 Sh	2005 Sh
Directors' remuneration:		
Fees for services as a director	3,827	3,709
Other emoluments	7,939	9,785
	11,766	13,494
Key management compensation:		
Salaries and other benefits	10,633	11,202

During the year the group contracted consultancy services from a firm related to it through common directorship. The fees charged for these services were Sh 5,820,000 (2005- Sh 3,022,000). These transactions were at arm's length and in the normal course of business.

26 CAPITAL COMMITMENTS

	2006 Sh'000	2005 Sh'000
Authorised but not contracted for	21,800	30,400

27 RETIREMENT BENEFIT OBLIGATIONS

The company contributes to a company defined contribution pension scheme and to a statutory defined contribution pension scheme, the National Social Security Fund. Contributions to the company plan are determined by the rules of the plan and totalled Sh 3,164,000 (2005 – Sh 1,822,000) in the year. Contributions to the statutory scheme are determined by local statute. During the year ended 31 July 2006, the company contributed Sh 136,000 (2005 – Sh 131,000) to the statutory scheme.

28 OPERATING LEASE COMMITMENTS

AS LESSEE:

The total of future minimum lease payments under non-cancellable operating leases is as follows:

	2006 Sh'000	2005 Sh'000
Not later than 1 year	361	361
Later than 1 year and not later than 5 years	1,442	1,442
Later than 5 years	16,863	17,224
	18,666	19,027

AS LESSOR:

The future minimum lease payments receivable under non-cancellable operating leases are as follows:

	2006 Sh'000	2005 Sh'000
Not later than 1 year	3,684	3,684
Later than 1 year but not later than 5 years	11,052	14,736
Later than 5 years	-	-
	14,736	18,420

Leases are negotiated for an average term of 5 years and rentals are reviewed in the third and fourth year.

29 COUNTRY OF INCORPORATION

The company is incorporated and domiciled in Kenya under the Companies Act.

30 CURRENCY

These financial statements are presented in Kenya Shillings thousands (Sh'000).

I/We _____

of _____

being a Member(s) of CARBACID INVESTMENTS LIMITED hereby appoint _____

_____ of _____

or failing him _____

of _____

or failing him the Chairman of the Meeting as my/our Proxy to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held at Holiday Inn (Palm Room), Parklands, Nairobi on Friday, 8th December 2006 at 10.00 a.m., and at any adjournment thereof.

Dated this _____ day of _____ 2006

Signature _____

Notes:

1. A member may appoint a proxy of his own choice. A proxy need not be a member of the Company.
2. If the appointor is a corporation, this form must be under its common seal or under the hand of some officer or attorney duly authorised in that behalf.
3. In the case of joint holders, the signature of any one holder will be sufficient but the names of the joint holders should be stated.
4. To be valid, this form must be completed and deposited at the Registered Office of the Company, 3rd Floor, Comcraft House, Haile Selassie Avenue, P.O. Box 30633, Nairobi, GPO, 00100, not less than twenty four hours before the time fixed for holding the meeting or adjourned meeting.

Fold 2
Kisha Kunja Hapa

STICK
STAMP
HERE

Company Secretary
Carbacid Investments Limited
P.O. Box 30633
Nairobi, GPO, 00100
Kenya

Fold 1
Kunja Hapa Kwanza

Fold 3
Halafu Kunja Hapa

Insert flap inside
Sasa ingiza hii karatasi ndani ya mkun-
jo ili ionekane kama bahasha